

FINALS PAPER: Poverty Inc.

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As a student of Information Technology in the Philippines, I am constantly surrounded by systems, processes, and structures whether in coding, networking, or user interface design. But after watching the documentary *Poverty, Inc.*, I was struck by how these same principles apply to the real-world issue of global poverty. Just like in a flawed computer program, the global aid system is filled with bugs not just random errors, but deeply rooted structural problems that keep people stuck in cycles of poverty, especially in the Global South.

Poverty, Inc. challenges the traditional narrative that developed countries (often referred to as the Global North) are the heroes rescuing the poor countries (the Global South) from despair. Through powerful storytelling and real-life examples, the film shows how well-meaning efforts like donating food, clothes, or building orphanages can actually make things worse by creating dependency, undermining local businesses, and stunting long-term development.

The documentary does not argue against compassion or humanitarian aid during true emergencies. Rather, it questions the sustainability and consequences of turning aid into a permanent system. This film made me realize that poverty is not just a lack of money or resources, it's a lack of access, opportunity, and freedom. Many poor communities are excluded from the systems of trade, legal protection, and entrepreneurship that would allow them to grow independently. The documentary forced me to rethink what real help means. Instead of acting like saviors, people from the Global North should support the Global South as equals, empowering them to solve their own problems, build their own economies, and define their own future. In this paper, I reflect on the relationship between the Global North and South, the causes of systemic poverty, the damage caused by aid dependency, and the better alternatives that respect dignity and promote self-reliance.

How *Poverty, Inc.* Depicts the Relationship between the Global North and the Global South

The documentary shows the relationship between the Global North and Global South as highly imbalanced, much like a client-server system where the server (the North) controls all the data and flow, while the client (the South) just waits and receives. Developed countries dominate the aid system—both financially and in decision-making—while developing nations are treated like passive recipients rather than equal partners.

Machiavelli's quote from the documentary hits hard: "The reason there will be no change is because the people who stand to lose from change have all the power and the people who stand to gain from change have none of the power" (*Poverty, Inc.*, 2014). This summarizes the entire problem: the people who benefit from the current system—the big aid organizations, donor governments, and international consultants don't want it to change, even if it's hurting the people it's supposed to help.

It's a one-sided model where the Global North sets the agenda. It determines what's needed, where to send resources, and how aid is delivered. Instead of enabling independence, this structure reinforces a cycle of control, dependence, and limited autonomy for developing countries (Moyo, 2014).

In short, the North controls the money, the agenda, and the image. The South is stuck being labeled as poor, helpless, and in need of saving.

Structural Factors that Keep the Global South in Poverty

According to the documentary, several deep-rooted structural issues keep countries in the Global South poor. One big factor is **paternalism, a mindset** where the North acts like a parent who always knows what's best for the South. It assumes that poor people can't solve their own problems, so outsiders must step in. But like overprotective parents who never teach their kids to stand on their own, this "help" keeps developing countries dependent.

Another structural issue is **trade imbalance** and **subsidies**. For example, in Haiti, the U.S. dumped cheap, subsidized rice, which destroyed local rice production. As Bill Clinton admitted in the film, this policy was good for American farmers but disastrous for Haiti's farmers, who couldn't compete with the low prices (*Poverty, Inc.*, 2014). This shows how powerful countries protect their own industries while undermining others.

It's like in IT when a global company installs free software that blocks local developers from building their own systems. It sounds generous at first, but it eventually kills innovation and local tech growth.

The lack of **property rights, legal justice, and market access** are also major problems. Without the ability to own land or get loans, entrepreneurs in the South can't grow. In Ghana, small business owners couldn't get bank loans because they lacked formal land titles. In Peru, it took 289 days just to legally register a business (*World Bank*, 2018). These bureaucratic hurdles discourage people from trying.

Dependency: When Help Hurts

One of the central arguments of *Poverty, Inc.* is that constant aid creates **dependency**, not development. A popular analogy in the film is the difference between giving a fish and teaching someone to fish. Aid often becomes a permanent system of giving fish, which means people never learn to fish for themselves.

An example is the story of a Haitian entrepreneur who started a solar lighting company. After the 2010 earthquake, NGOs flooded Haiti with free solar panels. That put his business on hold—he couldn't compete with "free." He went from selling 50 lights per month to selling just five. That's like a local IT startup in the Philippines trying to sell software while Google is giving it away for free, how can you survive?

Another example is orphanages. The film highlights that 80% of kids in Haitian orphanages have living parents who simply can't afford to care for them. Some parents were giving up their children just to give them a better life. This is heartbreaking. It would be better to help the parents earn money than take their children away.

The documentary points out that even **well-meaning acts** like donating used clothes can harm. When secondhand clothes from the U.S. flooded markets in Kenya, it killed the local textile industry. Factories closed. Cotton farms died. Jobs disappeared (*Poverty, Inc.*, 2014). These are unintended consequences, but they're real.

Challenging the Western Narrative and Suggesting Alternatives

Poverty, Inc. challenges the popular Western image of poor people as helpless and in need of rescue. These images are often used to get donations—flies on children's faces, dirty water, broken homes. But they create a dangerous story: that poor people can't help themselves.

This “rescue narrative” makes people in the North feel like heroes. It's the same feeling as when we do outreach and post selfies with poor kids. But the documentary forces us to ask: are we doing it for them or for ourselves?

The film offers alternatives. One major idea is to **treat poor people as partners**, not projects. Support local entrepreneurs, like the jewelry-making co-op in Haiti or the tech innovators in Ghana. Instead of building orphanages, help parents find work so they can keep their families together.

It also recommends investing in **legal and business systems** that work. Giving people the ability to own land, get loans, register businesses, and connect to global markets is more sustainable than handouts.

This reminds me of how we think in IT: the best solutions are scalable, efficient, and empower the user. Instead of writing code that fixes a bug temporarily, we write code that solves the root problem. Aid should do the same.

My Personal Takeaway: The Role of IT and Innovation

Watching *Poverty, Inc.* made me reflect on how we, as IT students, can be part of the solution. Technology can play a major role in bridging the Global North and South gap. For example, fintech apps can help unbanked communities access loans. E-learning platforms can teach people skills even in remote areas. E-commerce can help local products reach international markets.

But we have to be careful. Just like aid, tech solutions can backfire if we impose them without understanding the local context. We shouldn't assume that our way is the best way. Instead, we should **co-create solutions with local communities**. Let them lead the way.

We must avoid becoming part of the "poverty industry" an ecosystem where doing good becomes more about funding and image than actual results. Real innovation, in both tech and development, starts with listening to people and empowering them with the tools to create their own solutions (Rosenberg, 2016).

Conclusion

In conclusion, *Poverty, Inc.* opened my eyes to the hidden side of global aid and how it often maintains, rather than ends, poverty. The relationship between the Global North and South is like an unequal network system where the server controls everything, and the client just receives commands. But the people in the South don't need more commands—they need access, tools, and the freedom to build their own systems.

We should shift from giving aid to enabling growth. From treating people as charity cases to treating them as co-creators of their future. As the documentary says, having a heart for the poor isn't enough. We need to have a mind for the poor too.

If we really want to help, we must let go of our hero complex and start listening. Because sometimes the best thing we can do is step aside and make room for others to rise.

References

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